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Circular no. 1/2001

THE OPERATING RULES OF THE SPANISH STOCK EXCHANGE INTERCONNECTION SYSTEM (SIBE)

Sociedad de Bolsa's Circular 6/2000 revised and reorganised the Operating Rules of the Spanish Stock Exchange Interconnection System (SIBE).

These Rules represent the next step in the harmonisation of the Spanish electronic stock exchange trading market model to bring this into line with the established standards of the main European stock markets.

The main innovation lies in the management, by individual securities, of price fluctuations. A double price fluctuation mechanism is established via the determination of so-called static and dynamic ranges. Basically, static ranges are based on auction prices and dynamic ranges on the last traded prices. This double mechanism is aimed at individually managing the very diverse situations which arise during security trading. When the aforementioned ranges are exceeded, so-called volatility auctions are held.

These auctions will help these significant price fluctuations to occur with the involvement of a large number of market participants. They will also make it easier for market participants to react to the various situations, reducing operator errors.

These innovations have been included in the full draft of the Rules with certain sections being reorganised and new ones being introduced in order to make the Rules clearer and easier to apply, with this Circular 1/2001 being presented as the new revised draft of the Operating Rules.

The innovations affect the following aspects:

- Section 3, referring to trading hours, now includes the various auctions and possible extensions to these, referring with regard to specific aspects of these to other sections of the Rules. In the section on general trading the resolution of each auction has been explained.

- In Section 5, references to maximum price fluctuations have been replaced by a definition of static and dynamic prices and ranges, and the circumstances which result in the holding of a volatility auction and the procedure for this have been included.

- Section 9 of the Rules, which refers to trading in the special trading segment known as the "Nuevo Mercado" includes the innovations arising from the new prices and ranges system.

- Finally, the innovations caused by the static and dynamic prices and ranges system to the Trading and Control Committee's attributes have been included in Circular 5/1998, which deals with this Committee.

In pursuit of the objectives outlined above, the Board of Directors of the Sociedad de Bolsas has approved the following Circular, which reorganises the Operating Rules of SIBE, replacing and cancelling the first section to the previous Circular of the Sociedad de Bolsas 6/2000, of 5 December 2000.

First. Operating Rules of the Spanish Stock Exchange Interconnection System (SIBE).

Approval is given to the following new draft of the Operating Rules of the Spanish Stock Exchange Interconnection System (SIBE):

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1. SCOPE OF APPLICATION

SIBE shall be governed by these Operating Rules without prejudice to the outcome of the application of Stock Market Regulations and other general provisions. The rules included in the Traders' Manual and the Circulars and Operating Instructions approved by the board of directors, the Trading and Control Committee and the various governing bodies shall also be applied.

These Rules have a general nature as regards the operating of SIBE, shall be directly applicable to main trading and, as regards other trading types and segments, shall be applicable in all cases which are not the object of specific regulations governing each of these.

2. OPERATING REGIME

Trades shall be deemed valid when they take place as a result of the use of the technical instruments or media registered for each member, who will assume full and exclusive responsibility for all trades carried out in this way, without exception.

Trades carried out in this way shall be definitively confirmed with full obligatory enforceability. Exceptionally, an operation may be cancelled with the consent of the contracting parties always provided the appropriate authorisation has been granted by the Supervision Department or the Trading and Control Committee.

Once the trades have been carried out, each of these shall be assigned to the stock market to which the buying member belongs.

3. SESSIONS AND TRADING HOURS

3.1 Sessions

SIBE shall be open on all business days from Monday to Friday which figure in the legally established calendar and at the times given below.

3.2 Trading hours

3.2.1 Trading hours for main trading and for the "Nuevo Mercado"

Securities included under main trading and in the special "Nuevo Mercado" trading segment shall have the following trading hours:

3.2.1.1 Opening auction

From 8:30 to 9am, when orders can be entered, modified and cancelled but no trades can be made.

The auction shall end at any time, within a maximum 30-second period with a random ending, from 9am.

On special occasions, as indicated in section 6.2.4.2, the opening auction may be extended for two minutes, ending at random within a maximum additional period of thirty seconds.

3.2.1.2 Open session.

From 9am to 5.30pm when continuous trading is carried out. This may be interrupted by volatility auctions.

3.2.1.3 Volatility auctions

When the circumstances described in section 5.5 arise during an open session, a volatility auction will be activated with a duration of five minutes, ending at random within an additional period of at most thirty seconds.

During this period, orders can be entered, altered and cancelled but no trades can be made. Once the auction has ended, the open session will restart.

If a security's volatility auction overlaps the closing auction, the security will remain under auction with the conditions of the closing auction.

3.2.1.4 Closing auction

From 5.30pm to 5.35pm, when orders can be entered, altered and cancelled but no trades can be made. The auction shall end at any time within a random period of at most 30 seconds from 5.35pm.

On special occasions, as indicated in section 6.2.4.4, the closing auction may be extended for two minutes, ending at random period within a maximum additional of thirty seconds.

Subsequent auction periods may take place under the terms specified in these Rules.

The duration of the auction periods may be altered when circumstances make this advisable and these alterations may affect a particular security, group of securities or all the trading activity.

3.2.2. Trading hours for the Fixing Market

The fixing market shall have the following trading hours:

- First auction period 8.30am to 12.00 noon.
- First assignment of prices 12.00 noon.
- Second auction period 12.00 noon to 4.00pm.

- Second assignment of prices 4.00pm.

Fixing market auctions will end within a maximum additional period of 30 seconds with a random ending.

3.2.3. Trading hours for the Blocks Market

These shall be from 9:00am to 5:30pm except in auction periods for securities included in Main Trading and the "Nuevo Mercado".

3.2.4. Exceptional trading hours

In the event of important news or events or particularly significant incidents arising during SIBE sessions, the usual duration of trading hours may exceptionally be altered in accordance with the provisions of section 12 of these Operating Rules.

For the same reasons, the start of a session may be brought forward. This shall be announced via an Operating Instruction which shall be published in the Stock Exchange Bulletins of the four Spanish Stock Exchanges.

4. ORDERS, CROSS OPPOSITE-SIDE ORDERS AND TRADING UNITS

For purposes of the System, an order is defined as each position entered by a member indicating the security to be traded, whether the operation is buy or sell, the amount and the price in accordance with the provisions of the Traders' Handbook.

Given the exclusively buy or sell nature of each order, cross opposite-side orders will only take place if a member's opposite-side orders are matched, due to these being among the best ask and bid prices at the time the orders are entered. No preference shall be given to these over those of other operators.

Orders admitted in any market periods and market types shall be valid for the length of time indicated for these, with a maximum limit of 90 calendar days from their entry in the System. Those for which no period is indicated shall only be valid for the session in which they were entered.

As a general rule, the trading unit shall be one unit of the corresponding security included in the System. However, via an Operating Instruction, a different trading unit may be established in the case of specific securities where this is considered necessary.

5. PRICES AND PRICE VARIATIONS

5.1. Reference price for the session

At the start of each session, the reference price shall be taken as the closing price of the previous session, established in accordance with section 5.6 of these Rules.

When a security is included in SIBE for the first time, the reference price shall be the official closing price of the Stock Exchange on which it has most recently been traded, and in the case of different prices among various Stock Exchanges, the price of the market in which the highest trading volume has been recorded in the preceding fifteen sessions.

When a security is included in the System for the first time without having been traded previously on the Spanish Stock Exchanges, the reference price shall be that which corresponds to certain ask or bid positions.

When it is difficult to arrive at a reference price, either for the reasons indicated in the two preceding paragraphs or because other exceptional circumstances arise, the reference price may be fixed on the basis of other parameters, with the CNMV (Spanish Securities Markets Commission) being notified of the measure adopted.

When a capital increase begins, the theoretical value of the subscription right shall be deducted from the closing price of the previous session.

In the event of financial tradeson a security which could affect the reference price, this may be altered as considered necessary.

5.2. Static price and range

The static price is the price arising from the last auction or the price limiting the static range if a volatility auction is held because of a breakout from the static range. At the beginning of the session, the static price is the same as the reference price.

The static range is the maximum variation permitted in the static price at any given moment.

The static range is calculated on the basis of the historical volatility of each security. The static range will be in force throughout the session.

5.3. Dynamic price and range

The dynamic price is the last traded price of a security either from an auction or from the execution of an incoming order in an open session.

This price is continually updated during the session.

The dynamic range is the maximum variation permitted in the dynamic price. It is calculated on the basis of the historical series of price fluctuations of each security during the sesion.

The dynamic range will be in force during both the open session and the closing auction. However, it will not be in force during the opening auction, the volatility auctions, nor during the extensions to the opening and closing auctions.

5.4. Ranges and their diffusion

The static and dynamic ranges for each security will be published in Operating Instructions and revised on a regular basis. They may exceptionally be modified at other times. Appropriate information will be provided on these measures and displayed on SIBE screens as soon as circumstances allow.

5.5. Volatility auctions

During an open session, immediately before a trade at the limit price of the static range (breakout from the static range) or at the limit price of the dynamic range or outside this (breakout from the dynamic range), a volatility auction will automatically be generated on the security in question.

If a volatility auction is activated due to a breakout from the dynamic range, the static price prevailing at that moment will be maintained throughout the auction. However, if a volatility auction is activated due to a breakout from the static range, the price responsible for the breakout will become the new static price.

Volatility auctions will last for five minutes and end at any time within a maximum additional 30-second period with a random ending. During these auctions, orders can be entered, altered and cancelled but no trades can be made until the auction has ended, in accordance with the stipulations of section 6.2.4.3 to these Rules. The price resulting from these auctions will be the new static and dynamic price of the corresponding security.

5.6. Closing price

The session ends with a 5-minute auction, between 17:30 and 17:35, which will end at any time within a maximum additional 30-second period with a random ending. In accordance with the stipulations of section 6.2.4.4, the price resulting from this auction shall be the closing price of the session. If there is no auction price or if fewer than 500 trading units are traded during the auction, the closing price shall be the price of the last 500 traded units closest to the weighted average. If two prices have the same difference with respect to this weighted price, the price will be the last executed. If 500 units have not been traded, the closing price will be the price of the previous session.

In the Fixing Market, closing prices shall be based on 200 trading units.

5.7 Minimum price variation

The minimum variation shall be €0.01 if the price is equal to or lower than €50 and €0.05 if the price is over €50.

If the amount resulting from the application of the static or dynamic range to a security is equal to or lower than a price unit, the provisions of section 5.8 to these Rules regarding the trading of warrants and subscription rights shall be applied.

5.8 Special rules for warrants and subscription rights

The minimum variation shall be €0.01 whatever the price of the warrant or subscription right at any given time.

Warrants and subscription rights shall be subject to the maximum price variation limits established.

6. MAIN TRADING

6.1. Definition

In SIBE this is the type of trading for which priority in executing trades is determined by price and, if prices are equal, by the timing of order entry.

6.2. Auction periods

6.2.1. Definition

Periods of time during which orders can be entered, altered and cancelled but no trades can be executed.

During this period, the System will show the indicative prices that would be determined if, at that moment, the auction were to end.

6.2.2. Types of order

During auction periods, the following types of order shall be admitted according to price:

6.2.2.1. Limit order: order executed at the maximum purchase price or minimum sale price.

6.2.2.2. Market order: order introduced without a price limit so it is executed at the auction price. If a market order is partially traded or not traded at the auction, it remains a market order.

6.2.2.3. Market to limit order: order introduced without a price limit so it is executed at the auction price. Once the open session starts, the order is limited to the auction price. If there is no auction price, the order is rejected.

6.2.3. Order conditions

Orders may have hidden volumes (iceberg orders). These are entered in the System displaying only part of the volume to be traded, but take part in the auctions for the total volume. Only the displayed volume has priority in terms of time whilst both the displayed and hidden volumes have priority in terms of price.

6.2.4. Determination of the auction price

6.2.4.1 General rules for determining the auction price

The price for orders introduced during the auction period shall be the one which allows the maximum volume of orders to be executed.

If there are two or more prices at which the same order volume can be executed, the auction price shall be the one which leaves the smallest surplus (the difference between bid and ask volumes that could be traded at the same price).

If there is no surplus or if the surpluses are the same, the price of the side with the larger volume shall be taken.

If the three conditions stipulated above are the same, the auction price, of the two possibles, shall be that which is closer to the last executed price with the following exceptions:

- If the last executed price is within the range of the two possible auction prices, then this shall be the auction price.
- If there is no last executed price or this is outside the static range of prices, the auction price shall be that which is closest to the static price.

If, at the end of the auction period, ask and bid volumes are unequal, the security may be traded during the session as soon as buy and sell prices coincide.

6.2.4.2. Resolution of the Opening Auction

The auction shall be resolved in accordance with the rules developed in section 6.2.4.1.

However, if, once the auction period has ended, the resulting price for a certain security is within the static range limit or the volume of Market and Market to Limit orders is not covered by the total volume to be traded, the system will not make an allocation for this security and the auction period will be extended.

If at the end of the auction extension period, regardless of the price fixed, the volume of Market and Market to Limit orders has been covered by the total volume to be traded, trading units will be allocated in accordance with section 6.2.5, and the security will go into open session. If the volume of Market and Market to Limit orders exceeds the total volume to be traded, the security will remain under auction, which will end as established in section 6.2.4.5.2. of these Rules.

6.2.4.3. Resolution of Volatility Auctions

The auctions shall be resolved in accordance with the rules developed in section 6.2.4.1.

However, if, at the end of the volatility auction, regardless of the price fixed, the volume of Market and Market to Limit orders has been covered by the total volume to be traded, trading units will be allocated in accordance with section 6.2.5, and the security will go into open session. If the volume of Market and Market to Limit orders exceeds the total volume to be traded, the security will remain under auction, which will end as established in section 6.2.4.5.2. of these Rules.

6.2.4.4. Resolution of the Closing Auction

The auction shall be resolved in accordance with the rules developed in section 6.2.4.1.

However, if, once the auction period has ended, the resulting price for a certain security reaches or exceeds the dynamic range, or is at the static range limit, the

system will not make the automatic allocation and the security enters the closing auction extension period.

Once the two-minute closing auction extension period has elapsed and the corresponding random ending has taken place, the system will make the allocation in accordance with section 6.2.5.

6.2.4.5 Other special circumstances.

6.2.4.5.1 Incorporation of securities to the Spanish Stock Exchange Interconnection System

If, during the auction period, special circumstances arise concerning a particular class of security, because this is being included in SIBE for the first time without having been previously listed on the national stock markets, the following measures may be taken, singly or cumulatively, with the CNMV (Spanish Securities Markets Commission) being notified of the measures adopted:

1ª A reference price may be chosen which seems reasonable in view of the circumstances, so that, on the basis of this reference price, it is real supply and demand factors which establish, in accordance with the stipulations of section 6.2.4.1. of these Rules, the first price.

2ª Static ranges for the reference price may be altered as required.

6.2.4.5.2 Exceptional market situations.

When special circumstances affect a security, either because trading in it has been suspended or because the volume of Market and Market to Limit orders is not covered by the total volume to be traded or due to any other circumstance in which the reference price or the static price prevent normal trading, the following measures may be taken, singly or cumulatively, with the CNMV (Spanish Securities Markets Commission) being notified of the measures adopted:

1ª The security may be provisionally maintained in auction until the situation normalises, with the possibility of this being extended until the closing auction.

2ª Static ranges for the static price may be altered as required.

Appropriate information regarding the application of these measures shall be provided and displayed on the screens of SIBE as soon as circumstances allow.

6.2.5. Allocation of trading units in the auction

Once the auction price has been fixed, shares shall first be allocated to market and market to limit orders (without distinction, on the basis of when they entered the market), then to limit orders with higher prices than the auction price and, finally, to other limit orders at the auction price, as far as possible, according to the order in which these were introduced in the System.

6.3. Open session

6.3.1. Definition

Period of time during which orders may be traded, as well as entered, altered and cancelled.

6.3.2. Types of order

6.3.2.1. Limit order: order executed at the maximum bid price or minimum ask price.

6.3.2.2. Market order: order introduced without a price limit and executed at the best opposite-side price at the time of introduction. If a market order is partially traded or not traded, the order or the non-executed part remains a market order.

6.3.2.3. Market to limit order: order introduced without a price limit so it is executed at the best opposite-side price at the time of introduction. If, at the best price, there is no sufficient volume to satisfy the order, this shall be partly satisfied, with the rest being limited to that price. If there is no tradeable price on the opposite side of the market, the order is eliminated from the System.

6.3.3. Restrictions on the execution of orders

6.3.3.1. Minimum execution: these are orders which specify a minimum trading volume to be executed when they are introduced in the System. After this, the rest is treated as an order without restrictions. If there is insufficient volume to meet the minimum amount specified, these orders shall be automatically excluded by the System without any amount being traded.

6.3.3.2. Fill or Kill: these are orders which have to be totally executed immediately or rejected. This is a special type of minimum execution order for which the said minimum execution is equal to the total of the order.

6.3.3.3. Immediate or Cancel (Execute or Eliminate): these are orders which are executed immediately with the non-executed part being eliminated from the System.

6.3.4. Conditions of the order

Orders may have hidden volumes, i.e. only part of the trading volume is displayed in the System. Once the displayed volume has been executed, the rest is considered, for all intents and purposes, as newly introduced hidden volume (iceberg) orders.

6.3.5. Allocation of trading units in the open session

In the open session, orders executing tradesshall be matched to orders on the opposite side of the market according to price ranges and, if prices are equal, by timing priority.

6.3.6. Trading in securities at times of high volatility during the open session

If imbalances were to arise between supply and demand which prevented usual trading in a security, trading in the said security could be temporarily suspended giving rise to an auction at which the provisions of section 6.2.4.5.2 would come into effect.

Appropriate information regarding the application of these measures shall be provided and displayed on the screens of SIBE as soon as circumstances allow.

7. BLOCK MARKET

7.1. Definition

This is designed to allow members to apply cross opposite-side orders or carry out trades, provided that they meet the volume and price requirements established for gaining access to block trading conditions.

7.2. Order validity

Only orders valid for one day may be entered, and they must have issued by just one person, understood to be an individual or legal entity with decision-making power in respect of the whole order. The grouping of orders proceeding from various persons in this respect is expressly prohibited.

7.3. Announcement of operations

Before the start of the auction period on the day following the day of execution of the trades, details of the trades executed shall be provided to the various Spanish stock markets and entered on the System's screens.

7.4. Trading of Agreed Blocks

Market members may apply opposite-side orders or execute trades, through SIBE and within the established time scale, provided that they meet the following requirements:

7.4.1. Price

A ± 1% fluctuation from the mid point of the range between the best bid and ask positions in main trading or trading in the special trading segment known as the "Nuevo Mercado", shall be permitted, depending on the security in question.

The SIBE screens shall show the price range within which trades can be executed.

7.4.2. Minimum amount

The effective amount of the trade must total a minimum of €600,000 and represent at least 2.5% of the average daily trading volume of the security in question over the last complete calendar quarter. To this effect, only trades executed through main trading and trading in the special trading segment known as the "Nuevo Mercado" shall be taken into account, all special tradesand trading on the block market being excluded.

The SIBE screens shall reflect the minimum volumes required and the dates these requirements come into force.

7.4.3. Securities included

All stocks that form part of the IBEX 35 at any given time shall be included, together with any other securities that it is decided to include, due to their characteristics or the prevailing circumstances.

The inclusion of a security in or its exclusion from the block market shall, at the very latest, be announced in the session immediately preceding the one in which it is required to take effect.

No trades may be made on securities that cannot, for any reason, be traded on SIBE.

7.5. Parametrised Block Market

Market members may apply opposite-side orders or execute trades, through SIBE and within the established time scale, provided that they meet the following requirements:

7.5.1. Price

The permitted maximum divergence from the static price is 15% for Main Trading and fixing securities and 25% for “Nuevo Mercado” securities, depending on the security in question.

7.5.2. Minimum amount

The effective amount of each order shall total a minimum of €1,200,000 and represent at least 5% of the average daily trading volume in the security in question over the last complete calendar quarter. To this effect, only trades executed through main trading, trading in the special trading segment known as the “Nuevo Mercado” and the trading of securities on the fixing market shall be taken into account, all special tradesand trading on the block market being excluded.

The SIBE screens shall reflect the minimum volumes required and the date these requirements come into force.

7.5.3. Securities included

All securities traded on SIBE may be traded under this system.

8. TRADING OF SECURITIES ON THE FIXING MARKET

8.1. Operating procedures

Auction periods, order entry and the fixing of prices shall be carried out in accordance with the general rules established in section 6.2.4.1, with a single price for each security traded on this market being fixed at the end of each auction period, assigning to each price the corresponding trading units in each case.

Following the first price fixing stage, and the corresponding assignment of trading units, another auction period shall be held until the second price fixing stage, when a new assignment of trading units shall take place and the session shall be closed for the securities traded on this market. Both auctions shall end within a random 30-second period.

This market segment does not have dynamic ranges but it does have static ranges. Auctions for this market segment do not have extensions.

8.2. Selection of securities

The main criterion taken into account in assigning securities to this market shall be liquidity. To measure this, the size and stability of the following variables shall be taken into account:

- Effective daily total traded in ordinary operations, excluding those that are large in volume relative to the total and do not increase the market's liquidity.

- Number of daily operations.

- Range of best bid and ask prices.

- Annualised rotation index: Number of trading units traded in ordinary tradesdivided by the number of listed shares.

- Trading frequency: Percentage of sessions in which the security has traded.

Other variables can also be used as necessary to establish the liquidity of each security.

In the case of securities traded through SIBE, their inclusion in the fixing market shall depend on the market capitalisation, the size of the free float and other distinctive features of the securities in question and of their issuers' standing on the stock market.

8.3. Review of securities

The decision regarding which securities are to be traded on the fixing market shall be taken every six months, other than in the case of new securities added to trading via SIBE or in cases where market conditions call for a special review before the six-month period has elapsed.

9. TRADING IN THE SPECIAL TRADING SEGMENT KNOWN AS THE "NUEVO MERCADO"

The trading of securities included in this special trading segment shall meet the following special requirements:

9.1 Fixing of the first price when the securities in question are first included for trading via SIBE.

This first price shall be established on the basis of the real supply and demand introduced into the System, in accordance with section 6.2.4.1, and shall function as a reference price in all respects.

9.2 General rule governing price variations for each session.

Variations in price of the securities traded on this segment shall be governed by the provisions of sections 5 and 6 to these Rules with the securities of this segment having a single static range**.**

9.3 Special rule governing static range variations for the segment's securities.

In exceptional situations, the static ranges of one, several or all the securities of this segment may be altered, taking into account the circumstances of each case.

The application of these measures shall begin with an auction and appropriate information in this respect shall be provided and displayed on the screens of SIBE as soon as circumstances allow.

This modification of the static range of the prices of all or some of the segment's securities may be carried out as many times as is necessary.

9.4 Exceptional extension of sessions.

In cases where the exceptional circumstances referred to in section 9.3 of this Rule arise in the final moments of a session, a decision may be taken exceptionally to extend the same. This extension shall be governed by the criteria set out in the previous section of this Rule with regard to auction periods.

9.5 Actions of members obliged to promote the liquidity of the securities included in the segment.

The actions of these members shall be regulated by a special rule, establishing both the limits of their actions and the transparency requirements with which they must comply in performing this role.

10. SPECIAL OPERATIONS

10.1. TradesCommunicated

The members of the stock markets may apply opposite-side orders, or carry out trades without publicly communicating them, through SIBE,

outside established trading hours, provided that the following requirements are met:

10.1.1 Price

May not be more than 5% higher than the highest, or 5% lower than the lowest, of the following of the day's prices:

a) Weighted Average Price
b) Closing Price

Trades may be made at any price in the range resulting from the application of the percentages indicated above.

After the close of the session, SIBE will publish the closing prices, weighted average price and the price range at which trades may be made, on its screens.

In the event that no trades have been matched in the day, the average weighted price and closing price will correspond to the nearest preceding session in which prices have been established.

10.1.2. Minimum amount

The effective amount of each order shall total a minimum of €300,000 and represent at least 20% of the average daily trading volume for the security in question in the last complete calendar quarter. The calculation of this volume shall take into account the trades executed in SIBE within the established hours of trading and those binding positions dealt with in accordance with point 10.1.4 of these Rules.

The Sociedad de Bolsas Supervision Department shall keep the Market informed of the volumes required and the date these requirements come into force.

10.1.3. Individualised orders

Both purchases and sales shall be executed in one single order, i.e. issued by just one person, an individual or a legal entity, with the capacity to take a decision in respect of the whole order. In this respect, the criteria set out in Arts. 4 and 7 of Royal Decree 377/1991, of 15 March, on the communication of major shareholdings in listed Companies, and their acquisition of own shares, shall be applicable. The grouping together of orders is expressly prohibited.

10.1.4. Prior coverage of binding cash or paper positions

Market members may record binding bid or ask positions in a certain security, the sole aim of this being that these positions be dealt with in special tradesoutside normal trading hours, always provided the said positions meet the following requirements:

a) They have been communicated to the Supervision Department in the form established in the Traders' Manual.

b) They are for an effective amount of at least €30,000

c) They are not rejected by the Sociedad de Bolsas Supervision Department due to being considered exceptional as a result of their size or characteristics. The maximum amount admitted may not be more than the greater of the following amounts:

   - An effective total of €60,000.

   - 5% of the average daily trading volume for the last complete calendar quarter. The same criterion as described in point 10.1.2. of these Rules shall be applied to calculate this daily average.

A single binding position shall be deemed to be that placed by a single person, with the breakdown of orders therefore being prohibited.

In the event that the Supervision Department rejects a binding position in accordance with Article 3 point 1 section c) of the Ministerial Order of 5 December 1991, it may be specified that the position should remain binding for the amount that does not exceed the amounts indicated above. This specification shall be made by means of fax model O.E./004, sent to the Sociedad de Bolsas Supervision Department, before the close of the market.

d) does not exceed the price variation limit permitted.

The positions that meet the conditions indicated above shall be classed as binding positions at the close of the session and up to 8pm on the same day, bearing in mind the following specific details:

- in converting an order into a binding order, the total volume shall be taken into account (hidden volume, if it exists, as well as displayed volume).

- an order shall only be considered binding for one day, whatever the validity of the order itself.

Binding positions shall be fully covered, before any of the tradesincluded in this section 10.1 are carried out, provided that the price of the binding position is equal to or lower than the price at which the trade is to be carried out in the case of a sell position, or equal or higher in the case of a buy position.

The minimum amount requirement set out in point 10.1.2. shall be considered to have been met when, after adding to the amount of the trade the sum of the binding positions dealt with, this threshold is met.

If several trades previously cover the same binding position, the amount of the position shall be allocated on a pro rata basis among these, in accordance with the number of securities involved in each of the trades to be carried out.

10.1.5. Communication of trades

The communication of trades shall take place before 8pm, in accordance with the procedure described in the Traders' Manual.

Before the start of the auction period on the day following the day on which trades have been executed outside market hours, the Supervision Department shall communicate to the Spanish stock markets and to the market, via its screens, details of the binding positions dealt with and the trades executed.

In the light of these communications, each member shall be responsible for updating its respective orders.

10.2 Special trades requiring authorisation from the Sociedad de Bolsas Trading and Control Committee

Members of the Spanish stock markets may cross opposite-side orders or execute trades without publicly communicating them, through SIBE and outside the price limits established in point 10.1.1., provided that they obtain the corresponding authorisation, which shall only be granted in one of the following circumstances:

1. The amount exceeds the following minimum thresholds:

- An effective total of €1,500,000.

- 40% of the average daily trading volume in the security in question, in the last complete calendar quarter. The same criterion as described in point 10.1.2 of these Rules shall be applied to calculate this average.

2. The following circumstances of corporate interest arise:

- transfers directly related to company merger or separation processes.

- transfers originating in agreements for the restructuring of a corporate group.

3. When the trades are related to the execution of the following previously agreed contracts and complex sale and purchase agreements:

- sales and purchases that are the result of transactions or agreements aimed at the resolution of conflicts.
- Sales and purchases that form part of trades comprising a number of special inter-related agreements.

4. Any other reason that, in the opinion of the Sociedad de Bolsas Trading and Control Committee, sufficiently justifies authorisation of the trade.

The authorisation request shall be issued in accordance with the procedure described in the Traders' Manual, and shall be entered in SIBE sufficiently in advance to allow the authorisation procedures to take place before 8pm.

The trade shall be authorised, if deemed appropriate, by the Sociedad de Bolsas Trading and Control Committee and the requesting party shall be notified of the authorisation in accordance with the process described in the Traders' Manual, the trade being executed at the same moment as it is authorised.

Before the start of the auction period on the day following that on which the trades have been executed, the Sociedad de Bolsas Supervision Department shall communicate the detail of the trades executed to the Spanish stock markets, and show this information on the SIBE screens.

10.3. Validation

Trades directly agreed between non-members of the Spanish stock markets require Validation by a Member of one of these markets.

Trades with Validation which fulfil the requirements shown in point 10.1 of these Rules may be carried out by simple communication of the same in accordance with the procedure set out in the Traders' Manual.

The requirement to cover binding positions previously established in the Market shall not be applicable in this case.

Trades with Validation that do not fulfil the above-mentioned requirements, require the prior authorisation of the Sociedad de Bolsas Trading and Control Committee to be valid. This authorisation may be granted if any of the requirements set out in point 10.2 of these Rules are met, in accordance with the procedure established in the Traders' Manual.

10.4. Authorisation of special trades derived from the execution of equity options contracts.

The authorisation of special trades for the execution of equities options contracts shall be granted in conformity with the specifications contained in this respect in the Traders' Manual, and in accordance with the instructions received by Market Members from the Governing Body of Meff-RV.

If the trade is authorised, the requesting party shall be notified by the Sociedad de Bolsas Supervision Department of the said authorisation, in accordance with the procedure described in the Traders' Manual, the trade being executed at the same time as it is authorised.

The Sociedad de Bolsas shall provide the Spanish stock markets with a list of the trades executed, and the stock markets shall publish them on a daily basis in their respective Stock Exchange Bulletins.

11. ALTERNATIVE PROCEDURES

In the case of partial System failure, resulting in the exclusion of a limited group of traders from the System, the Stock Market Governing Bodies shall have in place the corresponding alternative systems, such that these traders are able to enter orders on the System.

If the System failure affects all traders and is on a scale such that trading might not be expected to begin or be resumed within a reasonable period, the Board of Directors shall immediately be notified of this fact, with a view to it taking appropriate measures with the corresponding stock markets, so as to introduce the necessary procedures for ongoing trading in the affected securities on the markets where they are listed, until System tradesreturn fully to normal.

12. EXCEPTIONAL PRECAUTIONARY INTERRUPTION OF TRADING, EXTENSION OR RESUMPTION OF THE TRADING SESSION AND SYSTEM SHUTDOWNS.

12.1 Precautionary interruption of trading

If important news or events or particularly significant incidents arise in the course of the SIBE session and could affect the normal performance of the same or the satisfactory operation of the System's technical support, trading may interrupted as a precautionary measure for the time required to assess the full implications of the news, event or incident.

Notification of the interruption of trading shall be given through the SIBE terminals and shall immediately be brought to the attention of the stock markets and the CNMV.

During the precautionary interruption period, orders may not be entered or executed, although the System may be consulted.

Following the end of the precautionary interruption period, an auction period shall be held, with subsequent resumption of trading, to which all other sections of these Rules shall be applicable.

If such news, events or incidents arises in the final moments of the session, and as a result trading cannot be interrupted on a precautionary basis, the session may be exceptionally resumed even when it would previously have been concluded in accordance with the normal timetable established in section 3 of these Rules.

This resumption or the possibility of resumption shall be announced via the SIBE terminals in the period between the publication of the end of session message and the publication of the closing price announcement. The communication of the possible resumption of the session shall expressly indicate that the last prices fixed at the end of the session are provisional.

In the event that the session is in fact resumed following the above-mentioned announcement, this resumption may be preceded by a special auction period or comprise a period of this type, with the setting of prices that this entails.

The length of time for which the session is resumed or extended in the context of a precautionary interruption of trading shall be determined on the basis of the prevailing circumstances in each case.

Both the exceptional resumption of a session previously concluded and the extension of a session due to a precautionary interruption shall be restricted to the absolute minimum length of time required. The resulting prices shall be subject to the general rules relating to closing prices.

12.2 System shutdowns.

If five or more members are unable to trade, SIBE's tradesshall be shut down until the incident is resolved. This shutdown shall not in any event exceed 30 minutes, after which period trading shall be resumed.

If all members of a stock market are unable to trade, SIBE's tradesshall be shut down until the incident is resolved. This shutdown shall not in any event exceed 45 minutes, after which period trading shall be resumed.

In the event that the market shutdown affects the auction period or the last 30 minutes of the open session, the Supervision Department may extend the auction period or the open session period, for as long as it deems necessary, though the extension may not exceed the interruption that justifies it, nor be for a period of less than 5 minutes.

Second. Modification of Sociedad de Bolsas Circular 5/1998, of 21 October, in respect of which the revised draft of the Rules applicable to the Trading and Control Committee was approved.

1. Section 1, number 7, g), of Sociedad de Bolsas Circular 5/1998, of 21 October, Revised Draft of the Rules applicable to the Trading and Control Committee, shall read as follows:

> "g) fix the reference price applicable to trading in any security in which exceptional circumstances arise."

2. A new section ñ) is added to point 1, number 7, of Sociedad de Bolsas Circular 5/1998, with the following wording:

> ñ) Establish, review regularly and alter the static and dynamic ranges of each security.

Third. Replacement of the previous SIBE Operating Rules.

This Circular contains all the Stock Exchange Interconnection System Operating Rules, and it therefore replaces and leaves null and void the First section of Circular 6/2000, of 5 December 2000.

Fourth. Date of application

The new Stock Exchange Interconnection System Operating Rules shall be applicable from 14 May, 2001, inclusive.

Madrid, 10 May, 2001

VICE SECRETARY OF THE
BOARD OF DIRECTORS

Jaime Aguilar Fernández-Hontoria